

1. Project Data:		Date Posted : 01/30/2012		
PROJ ID : P083543			Appraisal	Actual
Project Name :	Road Maintenance Program (phase 2)	Project Costs (US\$M):	70.0	110.8
Country:	Laos	Loan/Credit (US\$M):	22.6	23.7
Sector Board :		Cofinancing (US\$M):	20.1	18.9
Sector(s):	Roads and highways (97%) Central government administration (3%)			
Theme(s):	Infrastructure services for private sector development (40% - P) Injuries and non-communicable diseases (20% - S) Other financial and private sector development (20% - S) Other accountability/anti-corruption (20% - S)			
L/C Number:	C3944			
		Board Approval Date :		06/30/2004
Partners involved :	Asian Development Bank, Nordic Development Fund, SIDA., Japan PHRD Grant.	Closing Date :	03/31/2009	06/30/2010
Evaluator :	Panel Reviewer :	Group Manager :	Group:	
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2. Project Objectives and Components:

a. Objectives:

The project (APL 2) supports the second phase of a two phase program. According to the Project Appraisal Document (PAD, page 4), the objective of the *program* is: "the sustainable preservation of road assets through the development and implementation of financing and road management systems."

The PAD (page 4) states that the second phase of the Road Maintenance Program (RMP2) will expand the operation of financing and management systems for the sustainable maintenance of the road networks to all 18 provinces/zones countrywide, based on the successful experience of initiation and piloting under the first phase, with the following development objectives:

(a) National and local road assets are preserved to provide sustainable improved travel and access for road users and communities in most areas countrywide; and

(b) Sustainable financing and management of roads is operational countrywide with improved institutional capacity at central and local levels in the public and private sectors.”

The PDO statement in the Development Credit Agreement (DCA) is substantively the same: "The objective of the Project is to assist the Borrower in expanding sustainable maintenance of its road networks nationwide in order that: (a) national and local road assets are preserved to provide sustainable improved travel and access for road users and communities in most areas country-wide; and (b) sustainable financing and management of roads is operational country-wide with improved institutional capacity at central and local levels in the public and private sectors."

This Review is based on the statement of objectives in the PAD.

b. Were the project objectives/key associated outcome targets revised during implementation?

No

c. Components (or Key Conditions in the case of DPLs, as appropriate):

Component A. Preservation of road network (appraisal cost US\$59.1 million; actual cost US\$102.8 million). The component was to finance a portion of the four Annual Work Programs (AWPs) for periodic maintenance and routine maintenance on the National Road network countrywide and on selected parts of the Local Road network in all Provinces/Zones. This component would also provide implementation support to central and provincial departments.

Component B. Capacity building (appraisal cost US\$10.1 million; actual cost US\$7.2 million): This component would support the strengthening of the capacity of the transport sector for (i) management and financing of road infrastructure, (ii) road transport management and safety, and (iii) general institutional capacity at both national and sub-national levels.

Component C. Project administration (appraisal cost US\$0.85 million; actual cost US\$0.83 million): This component would provide efficient administration of the Program through (i) support to the Department of Roads (DOR) and the Division of Communication, Transport, Post and Construction (DCTPCs); (ii) incremental operating costs; and (iii) financial and technical audits.

Revised Components: Component B was amended in June 2006 and road safety subcomponent was dropped as road safety activities were transferred to two other donor-financed projects.

d. Comments on Project Cost, Financing, Borrower Contribution, and Dates:

Project Costs and Financing: The ICR (page 24) reports that the Nordic Development Fund (NDF) withdrew its financing offer of US\$8.55 million equivalent due to “financial portfolio limitations.” This necessitated a reallocation of the IDA Credit within sub-components and an increase in Swedish International Development Agency (SIDA) assistance from US\$5.2 million equivalent at appraisal to US\$11.1 million. The Asian Development Bank (ADB)’s contribution of US\$1 million was not confirmed at Board due also to portfolio limitations. However, the ADB later financed road safety related activities and periodic maintenance. Total actual project costs were US\$102.8 million compared to the appraisal estimate of US\$70.0 million because the actual costs for the provincial road network were 35% higher than estimated at appraisal.

Borrower Contribution: The Government of Lao contribution was doubled from US\$27.2 million to US\$67.8 million.

Dates: The two-year delay in mobilizing the consultancies led to a 15-month extension of the Credit closing date.

3. Relevance of Objectives & Design:

Relevance of Objectives: High.

The objectives of the Second Phase of the Road Maintenance Program (RMP2) were consistent with country priorities that were supported by the Country Assistance Strategy (CAS 2005) and were in line with the Government of Lao's “Strategic Directions for Development of the Road Sector” issued in June 2000. The project objectives supported the CAS goal of strengthening key sectoral and provincial capacities, including the roads sector, and improving infrastructure services that support regional integration and private sector development.

Relevance of Design: Substantial

The use of an APL instrument was appropriate as it fostered longer-term engagement in the sector and enabled the requisite management systems and institutional capacity to develop. The project objectives were well supported by the three components that promoted local and national management of the sector, financial capacity building and implementation assistance. Lessons learned from the first phase were used to develop the second phase of the project. Environmental and social safeguards provisions were appropriately identified. Design included a capacity-building component to mitigate risks arising from insufficient capacity, especially at provincial and district levels. However, the terms of reference for advisory services were not completed (see Section 8a below), which caused start-up delays.

4. Achievement of Objectives (Efficacy):

Preservation of national and local road assets to provide sustainable improved travel and access for road users and communities: **substantial**.

- The project assisted in improving the condition of the road network. The road condition targets for the National Road Network (NRN) were achieved with 83% of the paved NRN in good condition (in 2008) compared to the target of 80%. For the Provincial Road Network (PRN) the target was not achieved. About 26.3% of the PRN was in good condition in 2009 compared to the target of 30%.
- 92% of the NRN is now subjected to regular routine maintenance, compared to a baseline value of 80% and a target of 90%. 80% of the PRN is also routinely maintained, though there is no baseline or target for this.
- The target for annual periodic maintenance of 8% of the NRN and PRN funded through the RMF was not achieved (the actual figures were 5.6% of the NRN and 7.3% of the PRN per year over the implementation period). However, maintenance of the NRN is now subject to three-year performance-based contracts (performance-based contracting was introduced to Laos under the project), leading to improved quality and frequency of routine maintenance, hence reducing the required frequency of periodic maintenance. The total length of national and provincial roads subjected to regular periodic maintenance has risen from 950 km in 2004 (500 NRN and 450 PRN) to 3,954 km in 2009 (1,832 NRN and 2,122 PRN).
- Two new indicators were added in 2009: (i) roads in good and fair condition as a percentage of the total road network (national, provincial, rural and district roads combined): this was estimated to have increased from 38% (2002) to 42% (2009); and (ii) the number of “direct project beneficiaries” (i.e. those living within two kilometers of an all-weather road – the “Rural Accessibility Index”): this was estimated to be 62% of the national population in 2009, but no baseline data are available.
- Data on travel-time savings were apparently collected since they are required for the Highway Development Model (HDM-4), which the ICR reports as having been used (after adaption to the Lao road network) for calculating efficiency (see Section 5 below). However, the evidence is not presented as part of the efficacy assessment.
- Despite these achievements, there is a question about the extent to which the project has achieved *sustainable* improved travel and access given the institutional and financing concerns discussed below.

Sustainable financing and management of roads with improved institutional capacity at central and local levels in the public and private sectors: **substantial**.

Sustainable financing :

- The RMF has been operational for nine years; its establishment was supported by APL1.
- The large volume of emergency work carried out over the period of APL2, considerably larger than that foreseen, was funded by the RMF, with the support of MOF, and demonstrates the robustness of the former’s finances. Although half the liabilities resulting from this had to be repaid to MOF on an accelerated schedule, leading to the postponement of the AWP in 2006/2007, the RMF’s finances were strong enough to sustain this.
- The annual funding required for road maintenance was estimated by the Ministry’s 2009 Transport Sector Strategy to be US\$31 million in 2009/2010 and the RMF achieved this revenue target. The Government has, until 2009/2010, increased the fuel levy for the RMF in annual increments of 50 LAK per liter, which is an important underpinning of financial sustainability.
- The ICR predicts, based on a projection of trends over the last nine years to 2015 that by that year the Fund will have some US\$71.2 million available for road maintenance.

However:

- While the annual funding required for road maintenance was estimated by the Ministry’s 2009 Transport Sector

Strategy to be US\$31 million in 2009/2010, GOL in 2009/2010 capped the amount of total road sector investment, including RMF funding, to 160 billion LAKS or US\$19.5 million equivalent. "Hence an optimal level of maintenance work was not carried out in the last year of the project" (ICR, page 12). Although it is unclear from the ICR whether such a cap is still to be applied in future years or what its amount would be, the fact that it was imposed once, and had an adverse impact, is a cause for concern.

- Actual road maintenance requirements (in any country) are normally in excess of the annual estimate provided by the sector Ministry. In this case also, the ICR states (page 11) that the US\$31 million estimate in the Ministry's Transport Sector Strategy for 2009/2010 is "in accordance with realistic resource constraints but potentially much higher if adequate resources could be provided."

Sustainable management :

- According to the Region, the road management system established under the project has become the central tool for MPWT's strategic planning for the road sub-sector. The project assisted in developing management instruments, including a unified road management framework (for strategic planning and identification of three year rolling maintenance needs), a financing mechanism, maintenance and contract management procedures, and -- at central level -- improved standard specification and operating manuals for environmental and social safeguards.
- The Road Maintenance System (RMS) for the NRN was extended to include urban roads. The Provincial Maintenance Management System (ProMMS) was also enhanced to cover the entire local road network (provincial, district, and rural roads). While these are positive developments, international experience suggests that care must be taken to avoid over-stretching the managerial, technical and financial capacity of the RMF and other sector institutions.
- The project introduced the concept of performance-based contracting for maintenance and supported the preparation of a new prioritized Strategic Plan for Transport to fiscal year 2020.
- The capacity of domestic contractors to compete under international competitive bidding ICB procedures has improved. Local consulting firms are now capable of undertaking good quality detailed design although they still need international expertise to ensure compliance with environmental and social safeguards.
- An action plan was developed for creating a national association of private sector construction firms, contractors and transport service providers. This would be important for sustaining private sector stakeholder representation in the RMF and related institutions.

However:

- Despite the action plan, no national association of private construction firms had been established by project closure.
- According to the Borrower's ICR (ICR, page 27), "low quality works and inadequate management and insufficient enforcement could jeopardize the sustainability of future programs if no remedial measures are taken" and "The quality of some maintenance works implemented during RMP2 is still below expected standards for both the national and local road networks. This places questions on the efficiency of the maintenance program. One of the foremost weaknesses in implementation of RMP2 is that the contractors do not meet all obligations under the contract, especially in respect of the works not being in accordance with the specification."
- The Borrower's ICR also notes a need for improvement in the quality and timeliness of collection of road condition data.

Program Objective:

In the light of the achievements under both APL 1 and the current project, important progress has been made towards meeting the program objective of the sustainable preservation of road assets through the development and implementation of financing and road management systems, although concerns about financial and managerial sustainability persist.

5. Efficiency (not applicable to DPLs):

The Highway Development Model (HDM-4) was used to calculate efficiency. At appraisal the analysis focused on the preservation component comprising 86% of the project cost. It was estimated on the basis of the first year's work program, estimated to cost US\$9.71. This resulted in an ERR of 39%. Using the appraisal methodology, but with actual costs of the road works and the observed traffic growth, the estimated ex-post ERRs are 35%, slightly lower than estimated at appraisal but still well in excess of the opportunity cost of capital. While the actual costs for the NRN were 8% lower than estimated at appraisal, those for the provincial road network were 35% higher due to unforeseen design and scope changes.

Efficiency is rated **substantial**.

a. If available, enter the Economic Rate of Return (ERR)/Financial Rate of Return (FRR) at appraisal and the re-estimated value at evaluation :

	Rate Available?	Point Value	Coverage/Scope*
Appraisal	Yes	39%	86%
ICR estimate	Yes	35%	85%

* Refers to percent of total project cost for which ERR/FRR was calculated.

6. Outcome:

The relevance of objectives is high, and that of design substantial. The project succeeded in its objective of preserving national and local road assets to provide sustainable improved travel and access for road users and communities. Much has also been done to strengthen the road management framework and to establish a robust financing mechanism for maintenance, although there are still some concerns about financial sustainability and the poor quality of works supervised at a local level. Efficiency is substantial. Overall, project outcome is assessed as **satisfactory**.

a. Outcome Rating : Satisfactory

7. Rationale for Risk to Development Outcome Rating:

The Ministry of Transport and its provincial departments have benefited institutionally through the implementation of the operation, for which there was no separate project management unit. The project has also introduced strategic management tools and skills at the central level. The Government has, until 2009/2010, increased the fuel levy for the RMF in annual increments of 50 LAK per liter, which is an important underpinning of financial sustainability. According to the Region, following the experience of this operation, a disaster emergency contingency fund has been created. Its development and management are being supported by the follow-up Lao Road Sector Project. Nevertheless, the Risk to Development Outcome Rating is rated **significant** for the following reasons:

- Continued capping of maintenance expenditures unrelated to needs will place a significant risk on the financial and physical sustainability of the road maintenance program.
- The fuel levy is not indexed to inflation, and the next increase is expected to be only 20 LAK.
- Road maintenance activities may have to compete with new road developments such as upgrading and expansion of the roads network.
- Capacity of road agencies has improved but the technical audit (2008/09) noted that more complex road maintenance activities such as road data collection, inspection and quality control remain largely reliant on donor funding.
- Low quality works, inadequate management and insufficient enforcement could jeopardize the sustainability of future programs if no remedial measures are taken. The Region subsequently informed IEG that some of the implementation problems arising from insufficient capacity are to be addressed under the subsequent Lao Road Sector Project (LRSP), which includes a sizable capacity development program targeted mainly at the local level.
- Management of safeguards compliance is still wholly dependent on external donor support.

a. Risk to Development Outcome Rating : Significant

8. Assessment of Bank Performance:

Quality-at-Entry: Moderately Satisfactory.

- Identification and appraisal were carried out by the same team which had supervised APL1. This facilitated continuity, rapid processing, and a focus on appropriate issues.
- A number of donors were, and remain, involved in Laos' road sector. Preparation therefore necessitated careful coordination. This was, on the whole, successfully carried out, though uncertainties prevented the confirmation of all cofinancing and two donors, as noted in Section 2d above, withdrew. This necessitated a

reallocation of funds and an increase in other bilateral contributions, leading to start-up delays.

- Agreed terms of reference for the key capacity building and Technical Assistance (TA) were not ready at appraisal. Important risk mitigation depended on this TA and delays in implementing the consultancies consequently increased potential risks (the PAD, on page 14, noted the requirement for enhanced capacity at provincial level with the expansion of the project nationwide, as well as for strengthened staffing and internal controls at the RMF).
- The ICR points out (page 5) that "A risk not identified at appraisal was the requirement of the Ministry of Finance (MOF) that half of the accumulated liabilities of LAK 100 billion (about US\$12 million) for emergency maintenance (from 2001 to 2005) should be repaid to MOF by the Road Maintenance Fund (RMF) in 2005. This reduced the availability of periodic maintenance funds for national and provincial roads and led to the postponement of the AWP for 2006/2007" -- a risk the ICR (page 18) states that "could have been foreseen." Furthermore, the ICR (page 6) notes "With foresight and adequate lead time, MPWT may have been able to persuade MOF to either significantly relax its demand for repayment by RMF of accumulated liabilities caused by emergency repairs incurred during the period from 2001 to 2005 or to agree a repayment schedule that did not significantly detract from the project's implementation".

Quality of Supervision: Moderately Satisfactory.

- Two supervision missions were carried out annually as planned and were appropriately staffed.
- Donor coordination was satisfactory, and overlapping was generally avoided.
- Supervision met most of the challenges posed by the extensive geographic area (18 provinces) in which project activities took place, the decentralization of many activities to the provincial and district levels, and a limited supervision budget; the contribution of locally based staff in this respect was key.
- The problem of the late completion of consultants' terms of reference for the TA activities was compounded by slow implementation. "Early supervision missions...should have been more diligent in alerting the Government on the delays and in identifying and agreeing on possible solutions, particularly with regard to project management and capacity building services that were delayed for two years" (ICR, page 18). Furthermore, the ICR states "The Seventh Quality of Supervision Rating (QSAR7) of April 2006 rated IDA's performance moderately satisfactory...Valid concerns were (i) slowness in ensuring the implementation of the key capacity building activities and TA; and (ii) shortages of funds in the RMF due to repayment of accumulated liabilities that could have been foreseen. Problems with the RMF led to a one-year delay in periodic road maintenance" (ICR, page 18). The downgrade of project achievements to moderately satisfactory during the Mid-Term Review (January 2007) resulted in an action plan to improve the capacity building and TA.
- The shortage of funds for maintenance resulting from the accelerated repayment of RMF liabilities to the MOF was foreseeable, and the problem could have been addressed in IDA policy dialogue, if necessary at managerial level.
- Similarly, the extent to which IDA management, at an appropriately senior level, was sufficiently involved in attempting to tackle the issue of capping of maintenance expenditures in 2009 is not clear from the ICR.

a. Ensuring Quality -at-Entry: Moderately Satisfactory

b. Quality of Supervision : Moderately Satisfactory

c. Overall Bank Performance : Moderately Satisfactory

9. Assessment of Borrower Performance:

Government Performance: Moderately Satisfactory.

- The Government was fully committed to the adoption of the APL instrument and to meeting the triggers to move from the first phase to the second.
- The GOL strengthened safeguard capacity through the establishment of the Department of Environment and Social Impact Assessment. An Environment Impact Assessment (EIA) decree was approved in 2010.
- The Ministry of Finance (MOF) supported the project, albeit with some delay, with regular increases in the fuel surcharge to fund the RMF even during periods of high global oil prices. MOF also supported improvements in financial reporting, budgeting and procurement mechanisms.
- However, MOF's decision that RMF rapidly repay one-half of the accumulated liabilities undermined the routine and periodic maintenance programs. There were also some delays in counterpart funding.

- The 2009 Prime Ministerial budget circular setting a budget ceiling on maintenance expenditures unrelated to needs could put the program's financial and physical sustainability at risk.

Implementing Agency Performance: Moderately Satisfactory. The ICR contains little analysis of implementing agency performance, with most of the discussion under that heading referring to the Government (page 19). The Region subsequently informed IEG that the project was implemented through the Ministry of Transport and its provincial departments, without a project management unit (PMU). This enabled them to benefit from institutional support and capacity building through implementation. However, technical audits still show weaknesses in the ability of the provincial units to supervise adequately local contractors who are themselves developing.

a. Government Performance : Moderately Satisfactory

b. Implementing Agency Performance : Moderately Satisfactory

c. Overall Borrower Performance : Moderately Satisfactory

10. M&E Design, Implementation, & Utilization:

M&E Design: The project included outcome indicators with baseline data and targets were set at appraisal. The ICR reports that outcome indicators could have been more clearly specified. The indicators were refined in 2006. The first PDO was adjusted to specify the number of 'paved' kilometers of the National Road Network (NRN) instead of the entire network. The second PDO indicator was also revised as follows: domestic budget including revenues from users are sufficient to fund routine maintenance on at least 90% of the NRN and periodic maintenance and rehabilitation on at least 8% of the NRN and PRN each year.

M&E Implementation: M&E was carried out through the Unified Road Management Framework (URMF) and semi-annual progress reports were prepared. The only road condition survey for the NRN was carried out during 2008. Under the Third Lao Swedish Road Sector Project, annual surveys of the condition of the Provincial Road Network (PRN), district and rural roads were carried out.

M&E Utilization: The ICR reports that the M&E system was not optimally used for decision making and influencing resource allocation as some of the indicators were incomplete until the end of 2008.

a. M&E Quality Rating : Modest

11. Other Issues (Safeguards, Fiduciary, Unintended Positive and Negative Impacts):

Safeguards.

- The project triggered three safeguards policies - Environmental Assessment (OP 4.01), Physical Cultural Resources (OP 4.11), Involuntary Resettlement (OP 4.12), and was assigned Environmental Category "B".
- Since the project was the second phase of the Road Maintenance Program (RMP), the PAD notes that the experience of the first phase of the RMP suggests that most of the potential impacts during maintenance works would be localized, temporary and could be mitigated through the application of the Environmental Guidelines for Road Projects and Resettlement and Compensation Guidelines. According to the Region, the project complied with World Bank environmental safeguards.
- According to the ICR, no involuntary resettlement was necessary.
- With SIDA's support to the Environmental and Social Division (ESD) and Bank's assistance, a new Environment and Social Operations Manual (ESOM) was prepared. The Bank's carried out a Safeguards Diagnostic Review (SGDR) of November 2008 and concluded that there was broad equivalence between the Bank's and Lao's legal framework for environmental assessment and physical cultural resources. Some gaps were identified but would be addressed through the ESOM.
- Despite the considerable efforts made under the SIDA-financed components to develop local capacity, the ICR (page 17) observes that an "independent technical audit (2008/09) noted that ... management of environmental and social safeguards, are still entirely reliant on donor funding and are therefore unsustainable. The withdrawal of SIDA from Lao PDR's road sector is a gap that should be filled."

Fiduciary.

Financial Management . According to the Mid-Term Review, a number of shortcomings were identified regarding

financial management: (i) inadequate quality and reliability of financial reports; (ii) inadequate internal control particularly in the area of certification of civil works; (iii) delayed submission of financial reports; and (iv) inadequate use of financial reports as a project monitoring tool. The ICR reports (page 8) that “these [issues] were largely resolved by end-of-project.”

Audit . Although the engagement of an external auditor was delayed by 18 months and the submission of audit reports was at times delayed, the ICR (page 8) states that “no significant irregularities were identified.

Procurement . The ICR reports (page 8) that a large number of small-value NCB civil works contracts were procured by provincial and district units. “The majority of the contractors were small private enterprises with little experience in competitive bidding. Transparency and associated accountability were sometimes lacking, and delays resulted from late counterpart funding, but no significant irregularities were identified.”

Unintended Negative Impact. There is a possibility that improved accessibility may provide unauthorized access to natural resources and habitats. Moreover, in remote locations, overloaded trucks may be able to avoid weigh stations and causing severe road deterioration.

Unintended Positive Impact. None reported.

12. Ratings:	ICR	IEG Review	Reason for Disagreement / Comments
Outcome:	Satisfactory	Satisfactory	
Risk to Development Outcome:	Moderate	Significant	The budgetary capping of maintenance expenditures, low quality works, inadequate management, insufficient enforcement of standards, and the continued reliance on external donors for safeguards compliance represent significant risks to the achievements of both credits under the APL.
Bank Performance :	Satisfactory	Moderately Satisfactory	TA activities key to managerial sustainability were not ready by approval, and continued to be delayed during implementation. Policy dialogue did not prevent decisions which could pose a threat to the road maintenance system’s sustainability.
Borrower Performance :	Satisfactory	Moderately Satisfactory	The Government, while broadly supportive of the APL program, has nonetheless taken policy decisions which pose a risk to its sustainability. Provincial units still show weakness in managing maintenance contracts.
Quality of ICR :		Satisfactory	

NOTES:

- When insufficient information is provided by the Bank for IEG to arrive at a clear rating, IEG will downgrade the relevant ratings as warranted beginning July 1, 2006.
- The "Reason for Disagreement/Comments" column could cross-reference other sections of the ICR Review, as appropriate .

13. Lessons:

Adapted from the ICR:

- The impact of capacity building and Technical Assistance activities can be improved by high level client involvement in the design of these activities early in project preparation. The project experience shows that delays were caused because agreed Terms of References for the key capacity building activities and Technical

Assistance were not ready at appraisal.

- In the roads sector it is important to develop appropriate fiduciary internal controls, whereby appropriate financial records and approvals throughout the Implementing Agencies are matched to actual road works quality and quantity. These can then be used as the basis for payments on goods and services.
- To ensure growth in Road Maintenance Fund's (RMF) income, broadening the base of road user charges should be considered, for example, through additional charges for heavy vehicles.
- To preserve the road network, emergency road works should not be at the expense of a normal, planned maintenance program. Road Agencies need to establish contingency funds and clear rules as to how RMF would fund emergency works.

14. Assessment Recommended? ☒ Yes ☐ No

Why? To verify the ratings and document lessons. To conduct a sector-wide evaluation to assess the impact of this project and the previous project RMP1.

15. Comments on Quality of ICR:

The quality of information and analysis of the ICR is satisfactory though there are some shortcomings. The discussion of implementation agency performance is thin and is focused mainly on government ministries. There is no clear statement of the degree of safeguards compliance and the discussion of the theme could have been usefully expanded. More detailed analysis of the government decision to cap road maintenance expenditures and its implications for the future would also have been useful.

a. Quality of ICR Rating : Satisfactory